Human Resource Management - Set 6

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. The mnemonic C-D-P-C-M for HRP objectives starts with
A. Change - cope with change in technology, markets and products
B. Control - dismiss staff whenever the firm faces any budget problem
C. Communication - none of the HR plans need to be communicated to staff
D. Cost - cut the cost by dismissing all employees in the firm at once

2. Industrial relations describe the relationship between
A. customers and suppliers and the organisations they deal with
B. management and employees and their organisations
C. shareholders and directors and the meetings they hold
D. banks and borrowers and the loans between them

3. Preventing members of management from leaving the premises by blocking exits with human barricades is
A. picketing
B. layoff
C. boycott
D. gherao

4. Which is a way to overcome appraisal challenges?
A. Hide criteria from employees
B. Promote two-way dialogue and regular check-ins
C. Give feedback once in several years
D. Use only supervisor discretion

5. A grievance is
A. any dissatisfaction or feeling of injustice in connection with one's employment brought to the attention of management
B. an agreement between management and union on the terms of employment
C. a sudden stoppage of work by a group of employees to press demands
D. a formal punishment given to an employee for breaking company rules

6. Judging a candidate on the basis of one strong trait is the interviewing error called
A. halo effect
B. central tendency
C. leniency
D. horns effect

7. Trade unions generally prefer which objective criterion for pay rises?
A. Potential
B. Seniority
C. Individual negotiation
D. Performance rating

8. Job evaluation compares
A. the person only who is doing the job at present in the firm
B. the job itself, not the person doing it
C. company profits and the sales of the firm in the market
D. employees' families and their social background at the work place

9. 'Industrial societies necessarily create industrial relations, defined as the complex of interrelations among managers, workers and agencies of government.' This is by
A. John T. Dunlop
B. Frederick Taylor

C. Henri Fayol
D. Dale Yoder

10. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing
A. the permanent appointment of a labour court in every factory
B. a mutually agreed grievance procedure
C. a uniform national wage scale for workers in all industries
D. a compulsory ban on all strikes and lockouts in the industry

11. Training given away from the work floor through discussion of real situations is the
A. Understudy
B. case study method
C. Job rotation
D. Apprenticeship

12. Breaking work into tasks and calculating standard time and staff needed is the
A. regression analysis
B. work-study technique
C. managerial judgement
D. ratio-trend analysis

13. According to Edwin B. Flippo, recruitment is
A. the process of searching for prospective employees and stimulating them to apply
B. the process of paying wages and benefits to all the employees
C. the process of training the new employees for their present jobs
D. the process of choosing the qualified individuals who fill the jobs

14. A fair wage lies
A. above the living wage in every industry and region
B. between the minimum wage and the living wage
C. below the minimum wage fixed by the law for the industry
D. at the level of the profit earned by the employer

15. An HR manager who advocates employee needs, morale and well-being plays the role of
A. change agent
B. administrative expert
C. talent manager
D. employee champion

16. Practising on replica equipment away from production is called
A. vestibule training
B. job rotation through different departments of the organisation
C. coaching by an experienced person at the actual work place
D. understudy to a senior who will be replaced in future

17. The relative amount of pay assigned to each job compared with the job market is the
A. grievance
B. pay level
C. pay form
D. pay structure

18. Industrial relations are the relationships among
A. customers and suppliers
B. employers, employees and the government
C. banks and borrowers
D. shareholders and directors

19. Which is an INTERNAL source of recruitment?
A. Employment exchange
B. Newspaper advertisement
C. Promotion
D. Campus recruitment

20. Performance evaluation is NOT the same as
A. periodic review
B. employee feedback
C. systematic assessment
D. job evaluation

21. Kirkpatrick's four levels of training evaluation are
A. strengths, weaknesses, opportunities and threats
B. plan, do, check and act
C. reaction, learning, behaviour and results
D. price, product, place and promotion

22. The ranking method is best suited for
A. very large complex organisations
B. small organisations
C. government only
D. multinationals only

23. What is the FIRST step in the performance appraisal process?
A. Taking corrective action
B. Establishing performance standards
C. Providing feedback
D. Measuring actual performance

24. In the process of job evaluation, the job evaluation committee generally consists of
A. the shareholders and the directors of the company
B. the chief executive officer and the board of directors only
C. experienced employees, union representatives and HR experts
D. outside consultants appointed by the labour department

25. Which is an essential of an effective grievance procedure?
A. Complexity, secrecy, delay and rigid rules for all employees
B. Exclusion of union representatives from every stage of the procedure
C. Decision by the management alone without any appeal
D. Legal sanctity, acceptability, simplicity and promptness

26. In the field review method, ratings are conducted by
A. a panel of external customers who deal directly with the employee
B. a senior director who rates all employees at the end of the year
C. the employee's own supervisor alone, without any help from HR staff
D. a trained HR staff member in the field who supports line managers

27. Giving low ratings on all traits because of one weak trait is the
A. halo effect
B. leniency bias
C. central tendency
D. horns effect

28. Voluntary arbitration requires that
A. only the employer agrees and the workers have no say in it
B. the union is excluded and only the management selects the arbitrator
C. both parties agree in writing and the award binds them
D. the court orders it and fixes the arbitrator for both the parties

29. The National Commission on Labour said complaints on wage payment, overtime, leave, transfer, promotion, seniority, work assignment and discharge constitute
A. gherao
B. collective bargaining
C. strikes
D. grievances

30. In 360-degree appraisal, an employee is rated by

A. his immediate superior alone at the end of the financial year
B. the customers and the shareholders of the company only
C. the employee himself and the trade union representative
D. superiors, subordinates and peers

31. Which of the following is a method of forecasting HR supply?
A. Work-study technique
B. Markov analysis
C. Delphi technique
D. Nominal group technique

32. Under a standard hour plan, an employee is paid
A. his hourly rate for the standard time, regardless of the actual time taken
B. only for the actual number of hours he works on each operation
C. a fixed monthly salary irrespective of the operations performed
D. a share of the company's profit distributed at the end of the year

33. A barrier to effective HRP is
A. too many accurate forecasts
B. availability of complete data
C. lack of top management support
D. perfect labour market

34. The mnemonic A-T-A-C for the HRM definition stands for
A. Audit, Train, Assess, Check
B. Appoint, Transfer, Assign, Close
C. Analyse, Test, Approve, Control
D. Acquire, Train, Appraise, Compensate

35. Recruitment is best defined as
A. the process of transferring an employee to a higher post in the same firm
B. the process of orienting a new employee to the company's rules and culture
C. the process of choosing the best candidate from the applicants through tests and interviews
D. the process of searching for and attracting potential candidates to apply for jobs

36. Bonuses differ from merit pay because bonuses
A. are paid monthly always
B. do not become part of base pay
C. become part of base pay
D. are never lump sums

37. In the Assessment Centre method, candidates perform tasks in
A. simulated work environments
B. only written examinations
C. bank vaults
D. customer homes

38. In the diary method of job analysis, the
A. job holder records daily activities in a log
B. auditor checks the books
C. union negotiates wages
D. supervisor reads the HR policy

39. The HR role of aligning HR strategy with business goals is the
A. employee champion
B. strategic partner
C. administrative expert
D. learning facilitator

40. Which is a function of a wage board?
A. Approve product designs of the manufacturing firms in the industry
B. Appoint company directors of the public limited companies

C. Fix share prices of the listed companies in the stock market
D. Set minimum wages and review wage structures

41. Evaluating the effectiveness of training is done to
A. determine the wage structure for employees who have completed training
B. measure whether training achieved its objectives
C. identify the number of new employees to be recruited next year
D. decide the compensation and fringe benefits of the trainers

42. Which employee-related factor is rewarded with pay increase and motivates workers to do better?
A. Age only
B. Religion
C. Performance
D. Distance from office

43. Selection is the process of
A. searching for and attracting a large pool of candidates to apply for vacancies
B. preparing a list of the tasks and duties attached to a vacant position
C. training newly appointed employees to perform their duties efficiently
D. choosing the most suitable candidate from the pool of applicants

44. Management role in HRM is described as
A. a purely monitoring role based on checking rules
B. a purely indirect role based on written orders
C. a purely transactional role based on contracts
D. transformational leadership

45. HRP is described as the process of
A. only recruiting new staff whenever a vacancy is noticed by any manager
B. designing the product range and the packaging of the finished goods
C. paying the wages and salaries of all the employees on time every month
D. anticipating and making provision for the movement of people into, within and out of an organisation

46. Which is an on-the-job training method?
A. Lecture in a seminar hall
B. Job rotation
C. Simulation lab away from work
D. Case study in a classroom

47. 'Functional objectives' of HRM aim to
A. maximise the dividend paid to shareholders in every financial year
B. help employees fulfil their personal ambitions outside the organisation
C. ensure the firm complies with all environmental and pollution control laws
D. keep the HR department's contribution at a level suitable to the organisation's needs

48. Bonuses and sales incentives are examples of
A. guaranteed pay
B. variable pay
C. benefits
D. equity-based pay

49. The CIPP model of training evaluation was developed by
A. Daniel Stufflebeam
B. Donald Kirkpatrick
C. Jack Phillips
D. Frederick Taylor

50. Which is a method of collecting job analysis data?
A. Balance sheet
B. Observation
C. Break-even chart
D. Gantt chart

Answer key - Set 6

1. **A**	11. **B**	21. **C**	31. **B**	41. **B**
2. **B**	12. **B**	22. **B**	32. **A**	42. **C**
3. **D**	13. **A**	23. **B**	33. **C**	43. **D**
4. **B**	14. **B**	24. **C**	34. **D**	44. **D**
5. **A**	15. **D**	25. **D**	35. **D**	45. **D**
6. **A**	16. **A**	26. **D**	36. **B**	46. **B**
7. **B**	17. **B**	27. **D**	37. **A**	47. **D**
8. **B**	18. **B**	28. **C**	38. **A**	48. **B**
9. **A**	19. **C**	29. **D**	39. **B**	49. **A**
10. **B**	20. **D**	30. **D**	40. **D**	50. **B**

Answers with explanations

1. The mnemonic C-D-P-C-M for HRP objectives starts with

Answer: A. Change - cope with change in technology, markets and products

Why correct: C = Change.

B is wrong: HRP does not aim at dismissal.

C is wrong: Not an HRP objective by itself.

D is wrong: Cost control is the 4th C and is about budget.

2. Industrial relations describe the relationship between

Answer: B. management and employees and their organisations

Why correct: Industrial relations is the relationship between management, employees and their organisations.

A is wrong: Customers and suppliers are business relations.

C is wrong: Shareholders and directors are corporate relations.

D is wrong: Banks and borrowers are financial relations.

3. Preventing members of management from leaving the premises by blocking exits with human barricades is

Answer: D. gherao

Why correct: Gherao confines management by a human barricade.

A is wrong: Picketing is outside the gate.

B is wrong: Layoff is employer inability to give work.

C is wrong: Boycott is refusal to deal.

4. Which is a way to overcome appraisal challenges?

Answer: B. Promote two-way dialogue and regular check-ins

Why correct: Regular two-way talks let problems be fixed early and make appraisal fair.

A is wrong: Hidden criteria cause distrust and confusion.

C is wrong: Feedback once in years is too late to correct anything.

D is wrong: Supervisor discretion alone invites bias.

5. A grievance is

Answer: A. any dissatisfaction or feeling of injustice in connection with one's employment brought to the attention of management

Why correct: A grievance is any dissatisfaction or sense of injustice about employment brought to management.

B is wrong: An agreement is a collective agreement.

C is wrong: Sudden work stoppage is a strike.

D is wrong: Punishment is a disciplinary action.

6. Judging a candidate on the basis of one strong trait is the interviewing error called

Answer: A. halo effect

Why correct: Halo effect: one strong trait colours the entire rating.

B is wrong: Central tendency: rating everyone average.

C is wrong: Leniency: rating everyone too high.

D is wrong: Horns effect: one bad trait colours the rating.

7. Trade unions generally prefer which objective criterion for pay rises?

Answer: B. Seniority

Why correct: Unions prefer seniority because it is objective and secure.

A is wrong: Potential is subjective.

C is wrong: Individual negotiation weakens the union.

D is wrong: Performance rating is subjective.

8. Job evaluation compares

Answer: B. the job itself, not the person doing it

Why correct: It values the job.

A is wrong: Appraisal evaluates the person.

C is wrong: Irrelevant.

D is wrong: Irrelevant.

9. 'Industrial societies necessarily create industrial relations, defined as the complex of interrelations among managers, workers and agencies of government.' This is by

Answer: A. John T. Dunlop

Why correct: John T. Dunlop defined IR as interrelations among managers, workers and government agencies.

B is wrong: Taylor is scientific management.

C is wrong: Fayol is administrative management.

D is wrong: Dale Yoder's definition differs.

10. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing

Answer: B. a mutually agreed grievance procedure

Why correct: The 1957 Code of Discipline advised a mutually agreed grievance procedure.

A is wrong: A labour court in each factory is not in the Code.

C is wrong: A uniform wage scale is not in the Code.

D is wrong: A ban on all strikes is not in the Code.

11. Training given away from the work floor through discussion of real situations is the

Answer: B. case study method

Why correct: Case study discusses real situations away from work.

A is wrong: Understudy is on the job.

C is wrong: Job rotation is on the job.

D is wrong: Apprenticeship is on the job.

12. Breaking work into tasks and calculating standard time and staff needed is the

Answer: B. work-study technique

Why correct: Work-study uses standard time.

A is wrong: Regression is statistical.

C is wrong: Judgement uses experience.

D is wrong: Ratio-trend uses past ratios.

13. According to Edwin B. Flippo, recruitment is

Answer: A. the process of searching for prospective employees and stimulating them to apply

Why correct: Flippo's recruitment definition.

B is wrong: That is compensation.

C is wrong: That is training.

D is wrong: That is Flippo's selection.

14. A fair wage lies

Answer: B. between the minimum wage and the living wage

Why correct: A fair wage lies between the minimum and living wage.

A is wrong: Above living wage is not required.

C is wrong: Below minimum is illegal.

D is wrong: Profit alone does not set fair wage.

15. An HR manager who advocates employee needs, morale and well-being plays the role of

Answer: D. employee champion

Why correct: Employee champion looks after morale.

A is wrong: Change agent drives transformation.

B is wrong: Administrative expert ensures compliance.

C is wrong: Talent manager handles recruitment and succession.

16. Practising on replica equipment away from production is called

Answer: A. vestibule training

Why correct: Vestibule = replica workplace.

B is wrong: Job rotation is on the job.

C is wrong: Coaching is on the job.

D is wrong: Understudy is on the job.

17. The relative amount of pay assigned to each job compared with the job market is the

Answer: B. pay level

Why correct: Pay level compares a job's pay with the job market.

A is wrong: Grievance is a complaint.

C is wrong: Pay form is guaranteed vs at-risk.

D is wrong: Pay structure compares jobs inside.

18. Industrial relations are the relationships among

Answer: B. employers, employees and the government

Why correct: This is the IR meaning.

A is wrong: Not IR.

C is wrong: Not IR.

D is wrong: Not IR.

19. Which is an INTERNAL source of recruitment?

Answer: C. Promotion

Why correct: Promotion fills a vacancy from existing employees, so it is internal.

A is wrong: Employment exchange is external.

B is wrong: Newspaper advertisement is external.

D is wrong: Campus recruitment is external.

20. Performance evaluation is NOT the same as

Answer: D. job evaluation

Why correct: Performance evaluation judges the person; job evaluation judges the worth of the job.

A is wrong: Periodic review is part of evaluation.

B is wrong: Feedback is part of evaluation.

C is wrong: Systematic assessment is evaluation.

21. Kirkpatrick's four levels of training evaluation are

Answer: C. reaction, learning, behaviour and results

Why correct: Kirkpatrick's levels: reaction, learning, behaviour, results.

A is wrong: SWOT is strategy.

B is wrong: PDCA is quality management.

D is wrong: 4Ps are marketing.

22. The ranking method is best suited for

Answer: B. small organisations

Why correct: Ranking is simple but subjective, so only small firms can use it.

A is wrong: Large complex firms need detailed methods.

C is wrong: Government is not specific to ranking.

D is wrong: Multinationals need detailed methods.

23. What is the FIRST step in the performance appraisal process?

Answer: B. Establishing performance standards

Why correct: You must first set standards before measuring performance.

A is wrong: Corrective action is last.

C is wrong: Feedback comes after comparison.

D is wrong: Measuring comes after standards.

24. In the process of job evaluation, the job evaluation committee generally consists of

Answer: C. experienced employees, union representatives and HR experts

Why correct: The committee mixes experienced employees, union and HR experts so no single view dominates.

A is wrong: Shareholders do not evaluate jobs.

B is wrong: CEO and board alone are too far from the jobs.

D is wrong: Labour department consultants are not the usual committee.

25. Which is an essential of an effective grievance procedure?

Answer: D. Legal sanctity, acceptability, simplicity and promptness

Why correct: An effective procedure follows law, is accepted by all, simple and prompt.

A is wrong: Complexity and delay defeat the purpose.

B is wrong: Excluding unions is unfair.

C is wrong: No appeal is unfair.

26. In the field review method, ratings are conducted by

Answer: D. a trained HR staff member in the field who supports line managers

Why correct: In field review a trained HR person in the field assists line managers.

A is wrong: Customer panels are not used.

B is wrong: A year-end director rating is not field review.

C is wrong: The supervisor alone is not field review.

27. Giving low ratings on all traits because of one weak trait is the

Answer: D. horns effect

Why correct: Horns effect: one weak trait makes the rater score all traits low.

A is wrong: Halo effect is the opposite, raising all scores.

B is wrong: Leniency bias gives everyone high scores regardless of traits.

C is wrong: Central tendency means rating everyone average.

28. Voluntary arbitration requires that

Answer: C. both parties agree in writing and the award binds them

Why correct: Arbitration is by agreement.

A is wrong: Both must agree.

B is wrong: Unions take part.

D is wrong: That is adjudication.

29. The National Commission on Labour said complaints on wage payment, overtime, leave, transfer, promotion, seniority, work assignment and discharge constitute

Answer: D. grievances

Why correct: Complaints about pay, overtime, leave, transfer etc. are grievances, said the National Commission on Labour.

A is wrong: Gherao is confinement of management.

B is wrong: Collective bargaining is negotiation.

C is wrong: A strike is a work stoppage.

30. In 360-degree appraisal, an employee is rated by

Answer: D. superiors, subordinates and peers

Why correct: 360-degree: superiors, subordinates and peers all rate.

A is wrong: Only the boss is traditional appraisal.

B is wrong: Customers and shareholders only is not 360.

C is wrong: Employee plus union is not 360.

31. Which of the following is a method of forecasting HR supply?

Answer: B. Markov analysis

Why correct: Markov analysis shows how employees move between jobs and exit, forecasting internal supply.

A is wrong: Work-study technique estimates workload (demand).

C is wrong: Delphi forecasts demand.

D is wrong: Nominal group technique forecasts demand.

32. Under a standard hour plan, an employee is paid

Answer: A. his hourly rate for the standard time, regardless of the actual time taken

Why correct: Standard hour pay pays for the standard time, not actual time.

B is wrong: Actual hours is time rate.

C is wrong: Fixed salary has no operations link.

D is wrong: Profit share is another plan.

33. A barrier to effective HRP is

Answer: C. lack of top management support

Why correct: Without top management support, HRP gets no resources or priority, so it fails.

A is wrong: Accurate forecasts help HRP.

B is wrong: Complete data helps HRP.

D is wrong: A perfect labour market would ease HRP.

34. The mnemonic A-T-A-C for the HRM definition stands for

Answer: D. Acquire, Train, Appraise, Compensate

Why correct: A-T-A-C follows Dessler's definition.

A is wrong: These are not the HRM definition words.

B is wrong: These are not the HRM definition words.

C is wrong: These are not the HRM definition words.

35. Recruitment is best defined as

Answer: D. the process of searching for and attracting potential candidates to apply for jobs

Why correct: Recruitment searches for and attracts a pool of potential applicants.

A is wrong: Moving to a higher post is promotion.

B is wrong: Orientation is induction.

C is wrong: Choosing the best from applicants is selection.

36. Bonuses differ from merit pay because bonuses

Answer: B. do not become part of base pay

Why correct: Bonuses are one-time lump sums that do not join base pay.

A is wrong: Bonus timing varies.

C is wrong: Merit pay joins base pay.

D is wrong: Bonuses usually are lump sums.

37. In the Assessment Centre method, candidates perform tasks in

Answer: A. simulated work environments

Why correct: Candidates do tasks in simulated work situations.

B is wrong: It is not a written exam only.

C is wrong: Bank vaults are not used.

D is wrong: Customer homes are not used.

38. In the diary method of job analysis, the

Answer: A. job holder records daily activities in a log

Why correct: In the diary method the job holder writes down daily activities in a log.

B is wrong: Auditors check books, not jobs.

C is wrong: Unions negotiate wages, not record job data.

D is wrong: Reading HR policy is not job analysis.

39. The HR role of aligning HR strategy with business goals is the

Answer: B. strategic partner

Why correct: A strategic partner links HR and business goals.

A is wrong: Employee champion handles morale.

C is wrong: Administrative expert handles processes.

D is wrong: Learning facilitator builds capability.

40. Which is a function of a wage board?

Answer: D. Set minimum wages and review wage structures

Why correct: These are wage board functions.

A is wrong: Not a function.

B is wrong: Not a function.

C is wrong: Not a function.

41. Evaluating the effectiveness of training is done to

Answer: B. measure whether training achieved its objectives

Why correct: Evaluation checks whether training achieved its objectives.

A is wrong: Wage structure is unrelated.

C is wrong: Recruitment numbers are unrelated.

D is wrong: Trainers' pay is unrelated.

42. Which employee-related factor is rewarded with pay increase and motivates workers to do better?

Answer: C. Performance

Why correct: Pay linked to performance motivates people.

A is wrong: Age alone does not motivate.

B is wrong: Religion must not matter.

D is wrong: Distance is irrelevant.

43. Selection is the process of

Answer: D. choosing the most suitable candidate from the pool of applicants

Why correct: Selection picks the most suitable person from the pool created by recruitment.

A is wrong: Searching and attracting is recruitment.

B is wrong: Listing tasks is job description.

C is wrong: Training new staff is induction/training.

44. Management role in HRM is described as

Answer: D. transformational leadership

Why correct: HRM = transformational leadership.

A is wrong: Monitoring is PM's task.

B is wrong: Indirect is the communication style of PM.

C is wrong: Transactional is personnel management.

45. HRP is described as the process of

Answer: D. anticipating and making provision for the movement of people into, within and out of an organisation

Why correct: This is the standard HRP definition.

A is wrong: Recruitment is only one outcome.

B is wrong: That is a marketing task.

C is wrong: That is payroll.

46. Which is an on-the-job training method?

Answer: B. Job rotation

Why correct: Job rotation trains at the workplace while working.

A is wrong: A seminar lecture is off the job.

C is wrong: A simulation lab away from work is off the job.

D is wrong: A classroom case study is off the job.

47. 'Functional objectives' of HRM aim to

Answer: D. keep the HR department's contribution at a level suitable to the organisation's needs

Why correct: Functional objectives keep the HR department's level of service in line with what the organisation needs.

A is wrong: Dividends are a finance objective.

B is wrong: Personal ambitions outside the firm are not an HR objective.

C is wrong: Environmental compliance is a societal objective.

48. Bonuses and sales incentives are examples of

Answer: B. variable pay

Why correct: Bonuses and incentives depend on performance, so they are variable.

A is wrong: Guaranteed pay is fixed.

C is wrong: Benefits are non-cash perks.

D is wrong: Equity pay uses shares.

49. The CIPP model of training evaluation was developed by

Answer: A. Daniel Stufflebeam

Why correct: CIPP is Stufflebeam's model.

B is wrong: Kirkpatrick made the four-level model.

C is wrong: Phillips added ROI.

D is wrong: Taylor is scientific management.

50. Which is a method of collecting job analysis data?

Answer: B. Observation

Why correct: Observation, interview, questionnaire and diary are job analysis data methods.

A is wrong: A balance sheet is a financial statement.

C is wrong: A break-even chart is a cost tool.

D is wrong: A Gantt chart is a scheduling chart.